

Ondas Inc Analysis

Ticker: ONDS | Feb 5th

Market Cap: \$3.57B

Looking for signs of an undervalued company (identifying improvement, not perfection)

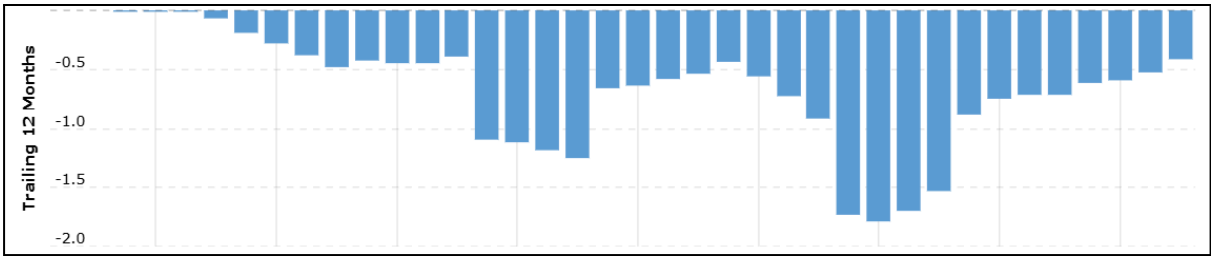
Grading System

Grade	Position Size
85+	2.5%
80-84	2%
75-79	1.5%
70-74	1%
65-69	0.5%
Less than 65	Avoid

Fundamentals:

Earnings Trend TTM - Shows profitability growth

First profitable year: 10 points	Loss narrowing/near break even: 8 points	Stable profitability: 5 points	Deepening losses: 0 points
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Source: Macrotrends (retrieved Feb 2026)

Ondas’ earnings trend showcases an increase in profitability, consistently narrowing its losses each quarter since Q3 of 2023. It earns 8 points in this category as it is still not profitable yet.

Institutional Ownership - In before the big players, but not entering value traps

25-40%: 10 points	40-60%: 6 points	Over 60% or under 25%: 0 points
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Breakdown	
1.62%	% of Shares Held by All Insider
31.87%	% of Shares Held by Institutions
32.39%	% of Float Held by Institutions
236	Number of Institutions Holding Shares

Ondas is supported by 31.9% institutional ownership, signalling a balance between institutional support and room for further growth. It earns 10 points in this category.

Source: Yahoo Finance (retrieved Feb 2026)

P/B vs Industry - Shows over/undervaluation compared to industry

30-60% below peers: 10 points	10-30% below peers: 8 points	Equal (within 10%): 5 points	Above peers: 0 points
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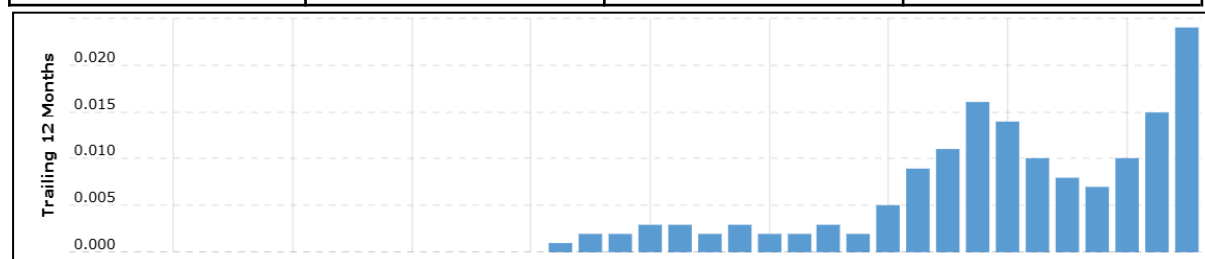
P/E	-
Forward P/E	-
PEG	-
P/S	145.90
P/B	5.79

With a P/B ratio of 5.79, Ondas is slightly above the communications equipment industry average of 5.28. However, this difference is not as significant as it is within 10% of it. It earns 5 points in this category.

Source: Finviz (retrieved Feb 2026)

Revenue Growth Trend YoY - Shows revenue growth over the years

Negative to flat to positive: 10 points	Explosive growth (30%+): 8 points	Stable growth: 5 points	Declining: 0 points
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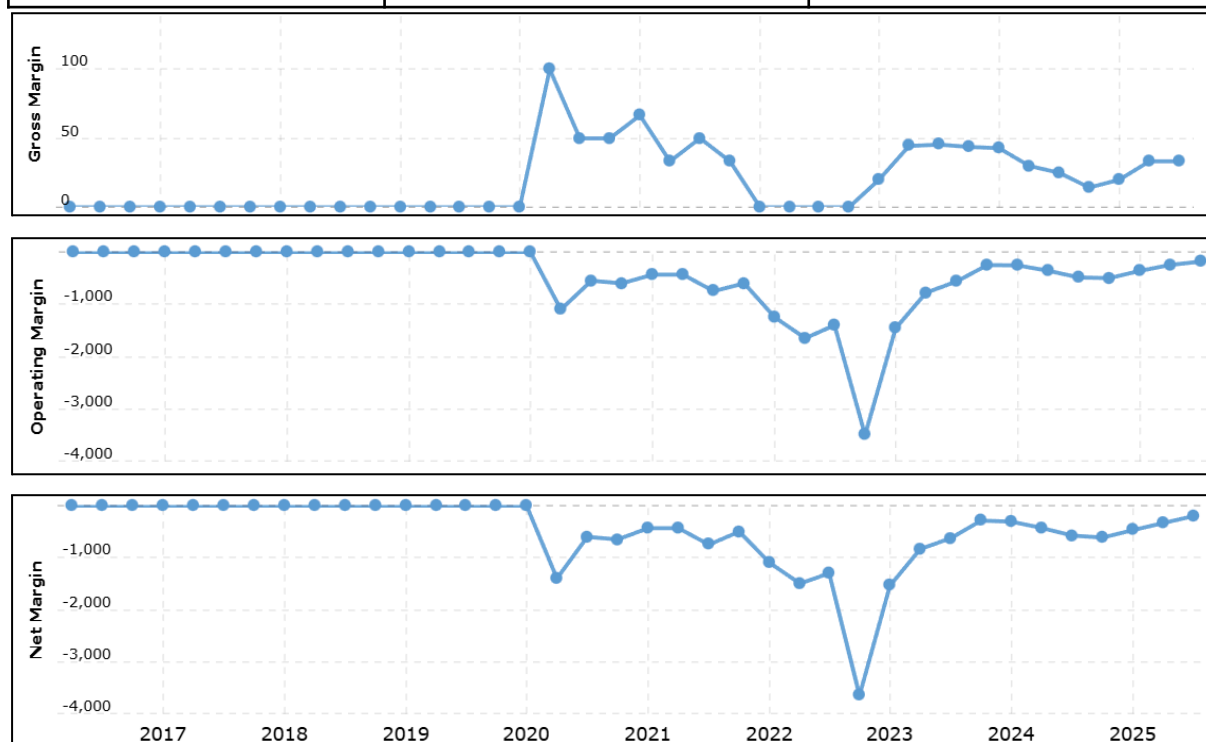


Source: Macrotrends (retrieved Feb 2026)

Despite its inconsistent revenue growth in the past five years, Ondas has achieved an impressive 243% revenue growth in the past four quarters. Additionally, its revenue has increased 50% from its previous highest quarter. It earns 8 points in this category for its explosive growth.

Margin Expansion - Shows a company is keeping more money from each sale

Expanding over 3% YoY: 10 points	Stable and rising: 7 points	Flat/declining: 0 points
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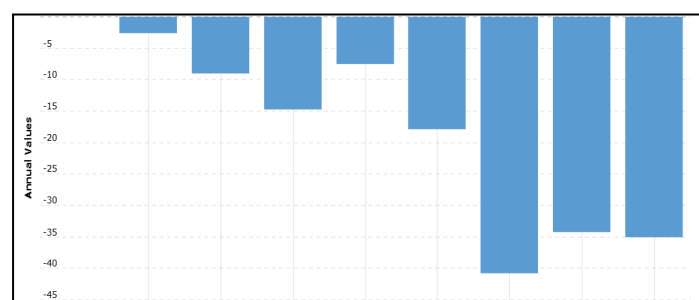


Source: Macrotrends (retrieved Jan 2026)

Ondas has had a negative net and operating margin since its inception in 2017. It had its lowest year during 2023, having a -3345% net margin and a -3266% operating margin. Since then, it has recovered and has gradually begun improving since Q4 of 2024. In the last four quarters, its operating margin has gone from -482% to -176%, and its net margin has gone from -572% to -192%. Additionally, its gross margin has increased from 14.82% to 33.87%. Although these margins are still negative, Ondas' improvements show signs of growth, earning 10 points in this category.

Free Cash Flow - Shows how much cash the company has left after its costs

Recently turned positive: 10 points	Stable: 6 points	Negative but improving: 3 points	Negative: 0 points
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Ondas has experienced a deepening negative free cash flow, signifying that it is not retaining cash after paying all of its expenses. It earns 0 points in this category

Source: Macrotrends (retrieved Feb 2026)

Bonus

Inside activity: 10 points	Short interest dropping 10%: 10 points	Product/Contract news: 10 points
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- OAS backlog reached \$22.2 million as of September 30, 2025, up from \$20.7 million at the end of Q2, reflecting continued global demand for the Optimus and Iron Drone platforms.
- Completed multiple government-led counter-UAS pilot programs in Europe and Asia, validating the Iron Drone Raider's superior performance in GPS-denied and complex environments and paving the way for long-term homeland security C-UAS infrastructure deployments.
- Secured a \$2.7 million order from a major defense customer for Iron Drone Raider for multiple units.
- Secured a \$3.5 million order from a leading defense entity for Apeiro's rugged UGVs and modular payloads, strengthening OAS' position in the global ground robotics market.

<https://www.ondas.com/post/ondas-holdings-reports-record-third-quarter-2025-financial-results-robust-growth-outlook-supported-b?>

Ondas is an emerging leader in a fast growing industry that combines AI and defense. It currently has a backlog of over \$22 million in orders and has completed many certifications and programs to test its products. Its Iron Drone and Optimus are its most promising products. It earns 10 bonus points for its innovative products and success in an evolving industry.

Ondas Inc's Fundamental Score: 51/60

Technical:

Support/Resistance Zones - Shows key zones where trends may reverse

Bounced off lowest support (at least 5%): 9 points	Broken through lowest resistance or second support: 6 points	Midway between support and resistance: 4 points	Below lowest support or above highest resistance: 0 points
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After reaching its highest resistance level at \$14, Ondas has fallen down to and broken its previous resistance of \$9.30. This demonstrates strong bearish momentum that is causing the price to fall. Given its current trend, Ondas is likely to fall to its \$5.09 support level. It earns 0 points in this category as it is not a good entry at this price.

Chart Pattern - Identifies bullish or bearish trend reversals

Cup & handle, bullish flag, bullish triangle, or bullish wedge: 8 points	Double bottom or base breakout: 4 points	Range-bound but tightening: 2 points	No chart pattern or bullish pattern: 0 points
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Over the last month, Ondas has formed a bullish flag pattern following an uptrend. This demonstrates potential bullish continuation, however, it has recently broken the lower level of the flag, rejecting the pattern. This indicates stronger bearish momentum, earning 0 points.

Price vs MAs - Compares current price to the average price during that period

Golden cross with price over 200MA but under 50MA: 8 points	Golden cross with price over both 200MA and 50MA: 6 points	No cross or price over 50MA: 3 points	Death Cross or Price under 200MA: 0 points
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Ondas has formed a death cross over the last five days, with the current price under the 200MA. This signifies strong bearish momentum that is likely to continue. It earns 0 points.



RSI (14) - Determines if it is overbought or oversold using the magnitude of price changes

0-30: 7 points	31-45: 4 points	46-69: 2 points	Over 70: 0 points
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With an RSI of 38.53, Ondas sits in neutral territory. At its current price of \$8.48, it is not oversold or overbought. It earns 4 points in this category.

Volume - Shows how many shares are traded during the period

Rising volume for 3+ green days: 8 points	Rising volume: 6 points	High volume breakouts: 3 points	Declining/flat volume: 0 points
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Ondas has been experiencing increasing amounts of short interest, however, it continues to have high volume breakouts that demonstrate it is still a stock of interest. It earns 3 points in this category.



Ondas Inc's Technical Score: 7/40

Ondas Inc's Final Score: 58/100

With an impressive 85% fundamental score, Ondas is a promising company that displays improving EPS, growing revenue, a solid foundation of institutional ownership, and a backlog of over \$22 million in orders. However, based on its current price performance, Ondas receives a 17.5% on its technical scores. The formation of the death cross, the rejected bullish flag, and the broken support line suggests that Ondas' stock price will continue to decline. Ondas is a company that investors should be looking to invest into, however, not at this current level.

Final analysis of Ondas: Keep a close eye on it, but avoid it until price stabilizes and technical indicators improve. Key buy zone: \$5.09.